

HOUSE No. 1930

The Commonwealth of Massachusetts

PRESENTED BY:

Francisco E. Paulino

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act empowering student-athletes through NIL rights.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Francisco E. Paulino</i>	<i>16th Essex</i>	<i>1/15/2025</i>

HOUSE No. 1930

By Representative Paulino of Methuen, a petition (accompanied by bill, House, No. 1930) of Francisco E. Paulino relative to name, image, or likeness rights for student-athletes. The Judiciary.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act empowering student-athletes through NIL rights.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Definitions

2 As used in this act, unless the context clearly requires otherwise:

3 "Student-athlete": An individual who engages in, is eligible to engage in, or has been
4 recruited to engage in intercollegiate athletics for an institution of higher education in the
5 Commonwealth.

6 "Institution of higher education": Any public or private college, university, or other post-
7 secondary educational institution located in the Commonwealth.

8 "Name, image, or likeness (NIL)": A student-athlete's identifiable attributes, including
9 but not limited to their name, image, voice, photograph, signature, or likeness, used for
10 promotional or commercial purposes.

"Athlete agent": A person who, for compensation or the promise of compensation, provides professional representation to student-athletes in connection with NIL agreements, contracts, or endorsements.

"NIL agreement": A written or oral agreement under which a student-athlete receives compensation for the authorized use of their NIL.

"Group licensing": Agreements or arrangements that involve multiple student-athletes licensing their NIL collectively for commercial purposes.

SECTION 2. Rights of Student-Athletes

A student-athlete may earn compensation for the use of their NIL. Such compensation:

(a) Shall not affect the student-athlete's scholarship eligibility or participation in athletics; and

(b) Shall not be contingent upon athletic performance or enrollment at a specific institution.

Institutions of higher education and athletic associations:

(a) Shall not prevent or restrict a student-athlete from earning compensation for NIL;

(b) Shall not provide direct compensation to a student-athlete for NIL use; and

(c) May assist student-athletes in understanding compliance requirements and applicable laws.

Group licensing arrangements involving student-athletes shall be permitted, provided such arrangements comply with this act and do not infringe on individual NIL rights.

A student-athlete may enter a professional sports draft without forfeiting eligibility to participate in intercollegiate athletics, provided they do not sign a professional contract.

SECTION 3. Institutional Responsibilities

Institutions shall designate an NIL compliance officer or equivalent resource, scaled to their size and capacity, to manage disclosures and ensure agreements align with institutional and NCAA policies.

Institutions must:

(a) Notify student-athletes of any conflicts between NIL agreements and team contracts within five (5) business days of disclosure;

(b) Provide clear guidelines on permissible NIL activities, including how they align with NCAA and conference rules;

(c) Offer or partner with external organizations to provide optional legal and financial advisory services for student-athletes.

Smaller institutions may apply for state-provided resources, including training and financial support, to meet compliance and educational requirements under this act.

Institutions may not:

(a) Use NIL agreements to gain a competitive advantage in recruiting or retaining student-athletes;

(b) Force student-athletes to participate in group licensing arrangements.

SECTION 4. NIL Agreements and Disclosure

Student-athletes must disclose NIL agreements to their institution's designated compliance officer within seventy-two (72) hours of signing or before participating in the next athletic event, whichever occurs first.

NIL agreements must include:

- (a) The scope of NIL rights being licensed;
- (b) The duration of the agreement;
- (c) Compensation details, including method and timing of payment;
- (d) A cancellation or termination clause;
- (e) A statement confirming the agreement does not conflict with existing team contracts.

Group licensing agreements must specify:

- (a) How compensation will be distributed among participants;
- (b) Opt-in provisions for individual student-athletes;
- (c) Protections for student-athletes who choose not to participate.

SECTION 5. Athlete Agent Regulation

Athlete agents must register with the Commonwealth through a process overseen by the Office of the Secretary of State.

(a) Applications shall include disclosure of prior disciplinary actions, NIL-related activities, and relationships with current or former student-athletes.

(b) Registrations must be renewed every two years, with updated disclosures provided.

Athlete agents are prohibited from:

(a) Offering gifts, inducements, or other benefits to influence a student-athlete's decision to sign;

(b) Making false or misleading statements about potential NIL opportunities;

(c) Using agreements that lack transparency or fail to comply with this act.

Agent fees for NIL agreements may not exceed 15% of gross compensation received by the student-athlete under the agreement.

Agents must provide student-athletes with a plain-language summary of all agreements, including terms of compensation, services provided, and duration.

Violations by athlete agents shall result in:

(a) Fines up to \$100,000 per violation;

(b) Suspension or revocation of registration;

(c) Civil liability for damages suffered by the student-athlete.

SECTION 6. Privacy and Public Records

NIL agreements and related disclosures submitted to institutions or state agencies are exempt from public records laws and shall not be disclosed without the written consent of the student-athlete.

Institutions must implement safeguards to ensure the confidentiality of NIL-related materials.

SECTION 7. Education and Training

Institutions shall provide annual training for student-athletes on NIL-related topics, including:

(a) Contract negotiation;

(b) Financial literacy and tax compliance;

(c) Branding, intellectual property, and group licensing rights.

Institutions may partner with external organizations to provide workshops and resources for student-athletes.

SECTION 8. Enforcement

The Massachusetts Attorney General shall oversee compliance and enforcement of this act, with the authority to:

(a) Investigate complaints and alleged violations within sixty (60) days of filing;

(b) Impose penalties, fines, and corrective actions on agents, institutions, or third parties that violate this act;

103 (c) Provide guidance to institutions and student-athletes on compliance.

104 Penalties for violations include:

105 (a) Fines up to \$250,000 for institutions engaging in prohibited conduct;

106 (b) Revocation of privileges for repeat violators;

107 (c) Civil actions initiated by student-athletes for damages, including attorneys' fees.

108 SECTION 9. Implementation Task Force

109 A state advisory task force shall be established to oversee the implementation of this act,
110 composed of representatives from:

111 (a) Higher education institutions;

112 (b) Student-athlete advocacy groups;

113 (c) The Attorney General's office.

114 The task force shall provide annual reports to the legislature on implementation progress
115 and recommend future updates.

116 SECTION 10. Severability

117 If any provision of this act or its application is held invalid, the remaining provisions
118 shall remain in full force and effect.

119 SECTION 11. Effective Date

120 This act shall take effect on July 1, 2027.